

Disrupted Times **Global Economy**

US well placed for interest rate cuts, says OECD

Also in this newsletter: Lloyds and Santander in spotlight over Iran, music industry blues, AI-aided brainstorming



The OECD forecast that US inflation would fall to 2.2% in 2024 and 2% in 2025 © AFP via Getty Images

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Today's top stories

Volodymyr Zelenskyy is considering a [sweeping “reset”](#) of Ukraine's military and civilian leadership in an attempt to reinvigorate its war effort almost two years since the start of Russia's full-scale invasion.

The FT revealed that Iran had used Lloyds and Santander, two of the UK's biggest banks, to [covertly move money around the world](#) as part of a vast sanctions-evasion scheme backed by Tehran's intelligence services.

Amazon struck a deal with Reach, the UK's largest publisher, over [obtaining customer data to target online advertising](#). The deal is a response to Google's move to axe “cookies” that help gather information about users by tracking their activity across websites.

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Good evening.

The US was well placed to [start cutting interest rates](#) because of the rapid fall in inflation, the OECD said today, in stark contrast to the UK, which the organisation maintained would experience the G7's fastest price growth this year and next.

The Paris-based club of rich nations, in its interim [Economic Outlook](#), forecast US inflation of 2.2 per cent in 2024 and 2 per cent in 2025. The only G7 member with lower price pressures this year was Italy, the OECD said.

The OECD said inflation would fall to most G20 countries' target rates by the end of 2025 but warned that policies “should remain restrictive for some time to come”, warning against any slashing of rates back to the near-zero levels of before the pandemic.

The path to lower interest rates may not be without some bumps on the way. Government bonds were [sold off](#) today in response to US Federal Reserve chief Jay Powell's comments at the weekend that he expected about [three quarter-point cuts this year](#), dashing hopes from traders for more rapid and steep cuts. The sell-off in US Treasuries deepened later in the day after fresh data showed that the country's services sector [grew more than expected in January](#).

Powell was followed today by the head of the Minneapolis Fed, who said policymakers [should not rush to cut rates](#).

As our Big Read explains, central banks are reluctant to [declare victory](#) over inflation while labour markets are still running hot, as evidenced by Friday's "[stunning](#)" [US jobs data for January](#).

The task has been made even harder for [policymakers in the UK](#), where it was revealed today that there would be a six-month delay to the introduction of [more reliable labour market data](#). They will, however, be cheered by PMI data suggesting that activity in the UK's dominant services sector, as in the US, rose [faster than previously expected](#) last month. The OECD projects UK inflation will hit 2.8 per cent this year and 2.4 per cent in 2025.

On growth, the US is also expected to be the top G7 performer this year with 2.1 per cent. Germany is expected to be the weakest with just 0.3 per cent, while the OECD forecasts the UK will expand by 0.7 per cent in 2024 and 1.2 per cent in 2025.

Need to know: UK and Europe economy

Northern Ireland finally has a new power-sharing executive, but the pressure is now on to solve problems made worse by two years of political paralysis over Brexit, including [finding cash for public sector pay rises](#). The executive has already said [£3.3bn in funding](#) from Westminster is not enough.

Chief economics commentator Martin Wolf says the **UK** is caught in a [vicious downward political spiral](#) when it needs bold leadership and imaginative policy. Tax cuts should be off the agenda, he writes, when the country is desperate for higher public and private investment.

The UK shelved long-awaited rules on the training of **artificial intelligence** models using copyrighted material after industry executives were [unable to agree on a voluntary code of practice](#).

German opposition to the proposed overhaul of an EU military support fund risks [delaying arms deliveries](#) to **Ukraine**, officials have warned. The €12bn European Peace Facility, set up outside the shared EU budget, has been depleted after reimbursing member states for arms they have shipped to Kyiv. A showdown over Ukraine aid is also [brewing in the US Congress](#).

Need to know: global economy

El Salvador's President Nayib Bukele declared victory in [presidential and congressional elections](#) on the back of soaring approval ratings for his draconian crackdown on gangs.

More than 3mn people [face acute hunger](#) in **Ethiopia** with echoes of the 1984 famine when half a million people starved to death. UK development minister Andrew Mitchell said the crisis had been provoked by drought as well as a two-year civil war between Tigray and the federal government in Addis Ababa.

Senegal is in a constitutional crisis after President Macky Sall [delayed elections for six months](#).

A mining start-up backed by Bill Gates and Jeff Bezos said it had discovered a [vast copper deposit](#) in **Zambia** in a boost to western efforts to cut reliance on China for metals vital for decarbonisation. The Mingomba site in the northern Copperbelt province will become one of the world's top three high-grade copper mines

Need to know: business

Yandex, often referred to as "Russia's Google", agreed to [sell its operations in the country for \\$5bn](#) as it seeks to secure its future in the aftermath of the war in Ukraine. The sale by its Netherlands-based parent follows a long negotiation with the Kremlin over how to redomicile a strategically important Russian asset while extracting some value for its western shareholders.

Big Tech groups Microsoft, Google, Meta and Amazon added almost \$10bn to their profits in the past two years by extending the estimated [working life of their servers](#), an accounting change that will help ease the burden of future costs such as developing generative AI.

Microsoft is working with media start-up Semafor to [create news stories using an AI chatbot](#) in a service called Signals. The deal comes as media companies become increasingly concerned over generative AI and its threat to their businesses.

Helle Thorning-Schmidt, co-chair of Meta and former Danish premier, writing in the FT, urged social media companies to tailor their policies to basic principles of [transparency and freedom of expression](#).

A unit of **Jardine Matheson**, one of Hong Kong's oldest colonial-era business empires, is resuming gold exploration in Indonesia despite concerns that it could threaten the habitat of the [world's most endangered great ape](#).

The **music industry** has got the blues, thanks to the [growth of streaming](#), job cuts, AI anxiety and the fact that one person now sells more music than the entire categories of jazz or classical. Whether Taylor Swift could also [swing the US presidential election](#), however, is another matter.

The world of work

A company-wide **brainstorm**, a high-level “ideation session” or even a — lord help us — “strategy jam”. Andrew Hill wonders whether AI could make problem-solving processes [less mind-numbing](#).

While the younger generation is the most likely to demand **homeworking**, they are also the [most disadvantaged by it](#), says FT columnist Camilla Cavendish. A new study bears out the old-fashioned idea that sitting with colleagues in a building can improve skills and job satisfaction, she writes.

Some good news

Recyclable 3D-printed homes are now a reality. A project in the US state of Maine is creating [bio-based houses](#) for the homeless crafted from materials such as wood fibres and bio-resins.

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